

Input-Output Analysis

ORSA Study text



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Sources: For this paper Chat GPT was used and Eveline S. van Leeuwen, Peter Nijkamp, Piet Rietveld, Regional Input–Output Analysis, Editor(s): Kimberly Kempf-Leonard, Encyclopedia of Social Measurement, Elsevier, 2005, Pages 317-323, ISBN 9780123693983, <https://doi.org/10.1016/B0-12-369398-5/00349-2>.
(<https://www.sciencedirect.com/science/article/pii/B0123693985003492>).

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Input-output analysis

Introduction

Input-output (I-O) analysis is an economic technique used to understand the relationships between different sectors of an economy. It examines how the output from one industry serves as an input to another, helping to identify how industries are interlinked. Components of I-O Analysis are following:

1. ***Input-Output Table***: This is a matrix that displays the flow of goods and services between sectors. It shows how much output each sector produces and how much it consumes from other sectors.
2. ***Sectors***: The economy is divided into various sectors, such as agriculture, manufacturing, and services. Each sector's output can be categorized and analyzed.
3. ***Interdependencies***: The analysis highlights interdependencies between sectors. For example, how changes in agricultural output affect the manufacturing sector that relies on agricultural products.
4. ***Economic Impact***: Input-output analysis can be used to assess the economic impact of policy changes, technological advancements, or external shocks on different sectors.
5. ***Multiplier Effects***: It helps in understanding the multiplier effects in the economy, showing how initial changes in spending can lead to a larger overall impact on the economy.

Overall, input-output analysis is a valuable tool for economists, policymakers, and business leaders to make informed decisions based on the intricate web of economic activities.

Methodology

1. ***Construction of Input-Output Tables***: The first step involves collecting data on the production and consumption of goods and services across different sectors. This data is compiled into an input-output table, which typically includes:
 - ***Intermediate Inputs***: Goods and services consumed by industries to produce their outputs.
 - ***Final Demand***: Consumption by households, government, and exports.
 - ***Value Added***: Compensation to labor, profits, taxes, and depreciation.

2. ***Leontief Inverse***: The analysis often uses the Leontief inverse matrix to calculate how changes in one sector's output will affect other sectors. This involves solving equations that represent the relationships between inputs and outputs.

3. ***Multipliers***: The analysis computes various multipliers, which quantify the total effect of a change in one sector on the overall economy. For example, a direct increase in manufacturing output can lead to indirect effects and induced effects in other sectors.

Applications

1. ***Policy Analysis***: Governments use input-output analysis to assess the impact of policy changes, such as tax reforms or subsidies, on different sectors and the overall economy.

2. ***Economic Planning***: It helps in formulating economic strategies by identifying key sectors that drive growth and understanding the structure of the economy.

3. ***Environmental Analysis***: Input-output tables can be adapted to assess environmental impacts by incorporating data on resource use and emissions associated with various sectors.

4. ***Regional Analysis***: Input-output analysis can be employed at regional levels to understand local economic interdependencies and assess impacts of local projects or initiatives.

5. ***Supply Chain Management***: Businesses use the analysis to understand their supply chains better, identify critical suppliers and customers, and optimize production processes.

Limitations

1. ***Static Nature***: Traditional input-output models are often static and do not account for dynamic changes in the economy, such as technological advancements or shifts in consumer preferences.

2. ***Data Limitations***: The accuracy of the analysis depends on the quality and granularity of the data used to construct the input-output tables. Data may be outdated or not sufficiently detailed for specific sectors.

3. ***Assumptions of Proportionality***: Input-output models often assume linear relationships and constant returns to scale, which may not hold true in real-world scenarios.

4. ***Complex Interactions***: The analysis can oversimplify complex interactions between sectors, especially in economies with diverse and multi-faceted industries.

5. ***Global Supply Chains***: In an increasingly globalized economy, traditional input-output models may struggle to accurately capture international trade dynamics and cross-border interdependencies.

Input-output analysis is a powerful tool with wide-ranging applications in economics, policy-making, and business strategy. While it has its limitations, its ability to provide insights into the interconnectedness of sectors makes it invaluable for understanding economic structures and planning for the future.

Applications in today's economy

Input-output analysis has a variety of applications in today's economy across different sectors and disciplines. Here are some of the most common uses:

1. ***Economic Impact Assessment***:

- Governments and organizations use input-output analysis to evaluate the economic impact of projects, such as infrastructure developments, policy changes, or major events (e.g., Olympics). It helps estimate job creation, income generation, and overall economic growth.

2. ***Regional Development Planning***:

- Local governments and regional planners utilize input-output models to understand the economic structure of their regions, identify key industries, and develop strategies for economic diversification and growth.

3. ***Environmental Analysis***:

- Input-output analysis can be adapted to assess environmental impacts by tracking resource use and emissions associated with different sectors. This is particularly useful in sustainability studies and environmental policy formulation.

4. ***Trade Analysis***:

- Economists use input-output tables to analyze the effects of trade agreements, tariffs, and other trade policies on domestic industries. This helps in understanding how changes in international trade dynamics affect local economies.

5. ***Supply Chain Management***:

- Businesses leverage input-output analysis to map their supply chains, identify critical suppliers and customers, and assess the potential impacts of disruptions (e.g., natural disasters or geopolitical tensions).

6. ***Sectoral Studies and Forecasting*:**

- Input-output models are employed to study specific sectors, such as manufacturing, agriculture, or services.

Analysts use these models to forecast trends, assess competitive dynamics, and inform investment decisions.

7. ***Public Policy Analysis*:**

- Policymakers use input-output analysis to evaluate the potential effects of tax policies, subsidies, and regulations on different industries and the overall economy. It helps in making evidence-based decisions.

8. ***Labor Market Studies*:**

- Researchers use input-output analysis to examine the relationships between industries and employment. This helps in understanding how changes in one sector can impact job creation or loss in others.

9. ***Crisis Management and Recovery Planning*:**

- Following economic shocks, such as natural disasters or financial crises, input-output analysis aids in assessing the recovery needs and potential pathways for rebuilding affected sectors.

10. ***Education and Training Programs*:**

- Input-output models can inform educational institutions about labor market demands, helping them design programs that align with the skills needed in various industries.

Overall, input-output analysis remains a vital tool for economists, policymakers, and business leaders. Its ability to provide insights into the interdependencies of economic sectors makes it indispensable for informed decision-making in an increasingly complex global economy.

Wassily Leontief

Wassily Leontief, often referred to as Vasilij Leontief, was a prominent economist best known for his development of input-output analysis. He was born on August 5, 1906, in St. Petersburg, Russia, and later emigrated to the United States in 1931. Key contributions of Leontief's work is following:

1. ***Input-Output Analysis*:** Leontief introduced this analytical framework to understand the interdependencies between different sectors of an economy. His work culminated in the creation of the input-output table, which quantifies how the output of one industry is used as an input in another.

2. ***Leontief Paradox*:** One of his notable findings was the "Leontief Paradox," which emerged from his empirical studies. He found that the United States, which was capital-abundant, exported labor-intensive goods and imported capital-intensive goods, contradicting the Heckscher-Ohlin theory that predicted countries would export goods that utilize their abundant factors of production.

3. ***Nobel Prize***: In 1973, Leontief was awarded the Nobel Prize in Economic Sciences for his pioneering work in input-output analysis and its application to economic planning and policy.

4. ***Impact on Policy and Planning***: His methodologies have been widely applied in economic forecasting, resource allocation, and understanding the broader implications of economic policies.

5. ***Teaching and Influence***: Leontief held academic positions at several prestigious institutions, including Harvard University, where he influenced generations of economists and contributed to the field of economics through teaching, research, and public policy advocacy.

Wassily Leontief's work laid the groundwork for various economic analyses and remains influential in fields such as environmental economics, regional planning, and economic modeling. His contributions continue to be relevant for understanding complex economic systems and sectoral interrelations. Leontief passed away on February 5, 1999, but his legacy endures in the tools and techniques that economists use today.

Input – output table

An input-output table is a structured representation of the flow of goods and services between different sectors of an economy. It typically appears as a matrix or grid. Here's an outline of how it is organized:

Structure of an Input-Output Table

1. ***Rows and Columns***:

- The rows represent the output of different sectors (industries), while the columns represent the inputs that each sector requires.

2. ***Sectors***:

- Each row and column corresponds to a specific sector of the economy, such as agriculture, manufacturing, services, etc.

3. ***Intermediate Inputs***:

- The main body of the table contains values that show how much output from one sector is used as an input by another sector. This includes transactions between industries.

4. ***Final Demand***:

- To the right (or at the bottom) of the main matrix, there is often a section for final demand, which includes household consumption, government spending, investments, and exports.

5. *Value Added*:

- At the bottom or side of the table, there may be a row or column for value added, which includes wages, profits, taxes, and depreciation. This captures the economic value created in each sector.

Input-output tables can be much larger and more complex, depending on the number of sectors included. They provide a comprehensive view of how industries interact and the flow of goods and services within an economy, making them a crucial tool for economic analysis and planning.

The Structure of an Input–Output Table

Because the input–output table describes the flows of products between and within industries for a certain region, the table can be divided into four quadrants (Fig. 1):

1.The upper left quadrant of the table contains the internal and intermediary delivery of goods from the industries to their own or to other industries.

2.The bottom left quadrant shows the primary costs, such as import and labor costs.

3.The upper right quadrant contains the final demand consisting of the demand of households and government, investments, and export.

4.The bottom right quadrant shows the portion of the primary costs that directly apply to the final sales.

To From		Industry				Final demand categories (F)				Total (X)
		1	2	3	4	Households	Government	Investments	Export	
Industry	1	z_{11}	z_{12}	z_{13}	z_{14}	c_1	g_1	i_1	e_1	X_1
	2	z_{21}	z_{22}	z_{23}	z_{24}	c_2	g_2	i_2	e_2	X_2
	3	z_{31}	z_{32}	z_{33}	z_{34}	c_3	g_3	i_3	e_3	X_3
	4	z_{41}	z_{42}	z_{43}	z_{44}	c_4	g_4	i_4	e_4	X_4
Primary input factors	Labor	l_1	l_2	l_3	l_4					L
	Capital	k_1	k_2	k_3	k_4					K
	Government	o_1	o_2	o_3	o_4					O
	Import	m_1	m_2	m_3	m_4					M
Total (Z)		Z_1	Z_2	Z_3	Z_4	C	G	I	E	

Figure 1 Input-Output table structure

As previously mentioned, the values of the cells are often expressed in monetary terms. Because the goods, produced by the different industries, are very heterogeneous, monetary terms are the best way to compare the flows. In some cases, such as when a table describes flows of energy, prices are not interesting. In these cases, energy terms are used.

The notation used in Fig. 1 is as follows:

Internal and intermediary deliveries

z_{ij} is the value (in monetary terms) of the delivery from industry i to industry j in a certain period for a certain economic system.

X_i is the total value of the goods produced by industry i .

Z_j is the total value of all inputs required by industry j .

Final demand

c_i is the value of consumption by households of goods from industry i .

g_i is purchases by the government of goods from industry i .

i_i is purchases as investment, mostly by companies, from industry i .

e_i is exports by industry i .

Primary input factors

l_j is labor costs of industry j .

k_j is capital costs of industry j .

o_j is payments to the government by industry j .

m_j is import costs of industry j .

Summarizing, the rows of the input–output table contain the internal deliveries (e.g., the agricultural industry that delivers products to other companies within the agricultural industry) as well as intermediary deliveries (e.g., the agricultural industry delivering to the food industry). Furthermore, the rows contain deliveries to the final demand, such as the consumers, the export sector, or the government. Each row sums up to the total output of an industry.

The columns contain deliveries from other industries as well as from the own industry to the pertaining industry (e.g., from the building industry to the agricultural industry). The columns also contain the rest of the necessary inputs, such as labor, imports, and indirect taxes.

Changes in one sector's output can have significant ripple effects throughout an economy, primarily due to the interdependencies captured in input-output analysis. Here are some key mechanisms through which these changes impact other sectors:

1. *Direct Effects*

- *Input Dependence*: When a sector increases its output, it often requires more inputs from other sectors. For instance, if the manufacturing sector ramps up production, it may need more raw materials from agriculture and components from other manufacturing industries.
- *Increased Demand*: The increased output in one sector can lead to higher demand for goods and services from related sectors. For example, a boom in the construction industry may increase demand for materials like steel and cement, affecting sectors that produce these goods.

2. *Indirect Effects*

- *Supply Chain Linkages*: The interconnectedness of supply chains means that when one sector expands, it triggers increased activity in upstream sectors (suppliers) and downstream sectors (customers). For example, if automotive production rises, sectors such as rubber, steel, and electronics may see increased demand as they supply parts for cars.
- *Value Chain Dynamics*: Changes in one sector can affect the entire value chain. If a technology company increases its output, it may require more inputs from software developers, hardware manufacturers, and logistics providers, leading to growth in those sectors as well.

3. *Induced Effects*

- *Income Generation*: As sectors grow, they create jobs and increase income for workers. This additional income leads to increased consumer spending, which can benefit various sectors, such as retail, hospitality, and services. For example, if the healthcare sector experiences growth, healthcare workers may spend more on housing, food, and entertainment, stimulating those sectors.
- *Multiplier Effects*: The combined effect of direct, indirect, and induced changes creates a multiplier effect in the economy. This means that the initial increase in output in one sector can lead to a more significant overall increase in economic activity across multiple sectors.

4. *Feedback Loops*

- *Economic Cycles*: Changes in one sector can influence economic cycles, leading to feedback loops. For example, if consumer electronics production increases, it may lead to higher employment and income in related sectors, which can further boost consumer spending and drive demand for more electronics.
- *Adjustment Processes*: Over time, sectors may adjust their production capacities and strategies in response to changes in demand from other sectors. For instance, if renewable energy production rises, traditional energy sectors may need to adapt by diversifying or investing in cleaner technologies.

Overall, the interconnected nature of sectors in an economy means that changes in one sector's output can significantly influence others. Input-output analysis helps quantify these relationships, allowing economists and policymakers to understand the broader implications of sectoral changes and inform their decisions. Understanding these dynamics is crucial for effective economic planning and policy formulation.